Global Experience

As I said before, differences between governments and central banks are not unique to India. They are much more common than we think but they play out differently in different countries and different contexts. And they are also managed differently.

The European Central Bank, the monetary authority for the nineteen members of the eurozone, is, in theory at least, supposed to be the most independent central bank in the world if only because it is not answerable to any single government. But even the ECB gets enmeshed in political controversy more often than we think. The irascible German Finance Minister Wolfgang Schäeuble has for long been critical of the ECB's policy cocktail of low interest rates, large bond purchases and generous liquidity for banks. Even as I write this in early 2016, Schäeuble has gone so far as to blame ECB President Draghi for the rise of the Alternative for Germany (AfD), a new anti-immigration, anti-euro party that surged into three regional parliaments with stunning victories.

In his autobiographical book, *The Age of Turbulence*, Alan Greenspan, the former chairman of the Federal Reserve, writes extensively about his strained relationship with President Bush Senior. According to Greenspan, the Bush administration and the Fed differed on managing the economic downturn, and the administration faulted the Fed's tight monetary policy for all its economic troubles. Greenspan writes that President Bush publicly challenged the Fed's hawkish stance by saying: 'I do not want to see us move so strongly against inflation that we impede growth.' Treasury Secretary Nicholas Brady in the Bush administration reportedly resented Greenspan's reluctance to support growth by slashing interest rates, and bluntly complained of lack of forceful leadership at the Fed. Bush himself blamed Greenspan for his loss in his bid for a second term when he told an interviewer, 'I reappointed Greenspan and he disappointed me.'

I was also struck by the fact that the Federal Reserve and its policies get embroiled in sharper political controversies unlike anything we are used to in India. Recall that Rick Perry, who campaigned for the Republican party